

5 Years	1.94%	0.08%	1.86%
10 Years	2.45%	0.47%	1.98%
20 Years	2.78%	0.78%	2.00%
30 Years	3.04%	0.94%	2.10%

Source: US Department of the Treasury.

Traditional bonds are priced around the objective of getting a return that exceeds expected inflation. If inflation is unexpectedly high, then the real return on nominal bonds is less. TIPS, on the other hand, keep pace with higher inflation, because it triggers a higher nominal return above their underlying real interest rate. Essentially, TIPS provide protection from unexpected inflation. They outperform Treasuries when inflation exceeds the implied break-even inflation rate.

This is a valuable attribute when spending for your retirement income plan is expected to grow with inflation. Traditional bonds outperform if inflation is unexpectedly low. Low inflation also makes it easier to meet retirement spending goals, so this outcome is less in need of protection. Retirees generally get more use from insurance that protects from *high* inflation, making TIPS a more natural candidate for retirement portfolios. In short, TIPS provide retirees with reliable, inflation-adjusted income that will maintain its real purchasing power.

In 2003, Zvi Bodie and Michael J. Clowes published the book *Worry-Free Investing: A Safe Approach to Achieving Your Lifetime Financial Goals*, in which they argued that typical retirement-oriented investors should rely primarily on TIPS for their retirement savings. Of course, other financial assets should be included in retirement portfolios, but, they said, only once you have enough savings (after accounting for any income expected from Social Security and other defined-benefit pensions) to cover your planned retirement expenditures without these riskier assets. In an interview in the February 2010 issue of *Journal of Financial Planning*, Bodie confirmed his continued endorsement of this strategy. He also indicated that his personal retirement portfolio is 100 percent in TIPS.